

# What is Economics?

Based on Ch. 1, Economics 10th ed., Parkin, Powell & Mathews

Course: Eco 101 (Introduction to Microeconomics)

# Definition of Economics

- All economic questions arise from **scarcity**—from the fact that wants exceed the resources (land, labor, capital, and entrepreneurship) available to satisfy those wants.
- **Economics:** the social science that studies the choices that individuals, businesses, governments, and entire societies make as they cope with *scarcity*.
- The subject divides into two main parts:
  - Microeconomics
  - Macroeconomics



## • Microeconomics

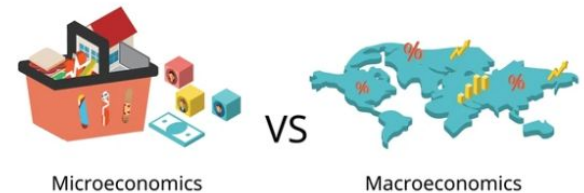
- Microeconomics is the study of the choices that individuals and businesses make, the way these choices interact in markets and the influence of governments.

*Some examples of microeconomic questions are: Why are people buying more mobile phones? How would a tax on downloading music affect the sales of CDs?*

## • Macroeconomics

- Macroeconomics is the study of the performance of the national economy and the global economy.

*Some examples of macroeconomic questions are: Why did production and jobs shrink in 2001? Why has Japan's economy stagnated?*



# Two Big Economic Questions

Two big questions summarize the scope of economics:

1. How do choices end up determining **what, how**, and for **whom** goods and services are produced?
1. Can the choices that people make in the pursuit of their own **self-interest** also promote the broader **social interest**?



# What, How, For Whom?

**Goods and services** are the objects that people value and produce to satisfy wants. Goods are physical objects such as golf balls. Services are actions performed such as cutting hair and filling teeth.

## What?

We make all kinds of things, like food, houses, and sports gear, and offer services like dental care and cosmetic surgery. Over time, what we make changes.

## How?

Goods and services are produced by using productive resources that economists call factors of production. Factors of production are grouped into four categories:

- Land
- Labour
- Capital
- Entrepreneurship

# Continued

## Whom?

Who gets the goods and services that are produced depends on the incomes that people earn. A large income enables a person to buy large quantities of goods and services. A small income leaves a person with few options and small quantities of goods and services.

People earn their incomes by selling the services of the factors of production they own:

1. Land earns rent.
2. Labour earns wages.
3. Capital earns interest.
4. Entrepreneurship earns profit.

# Factors of Production

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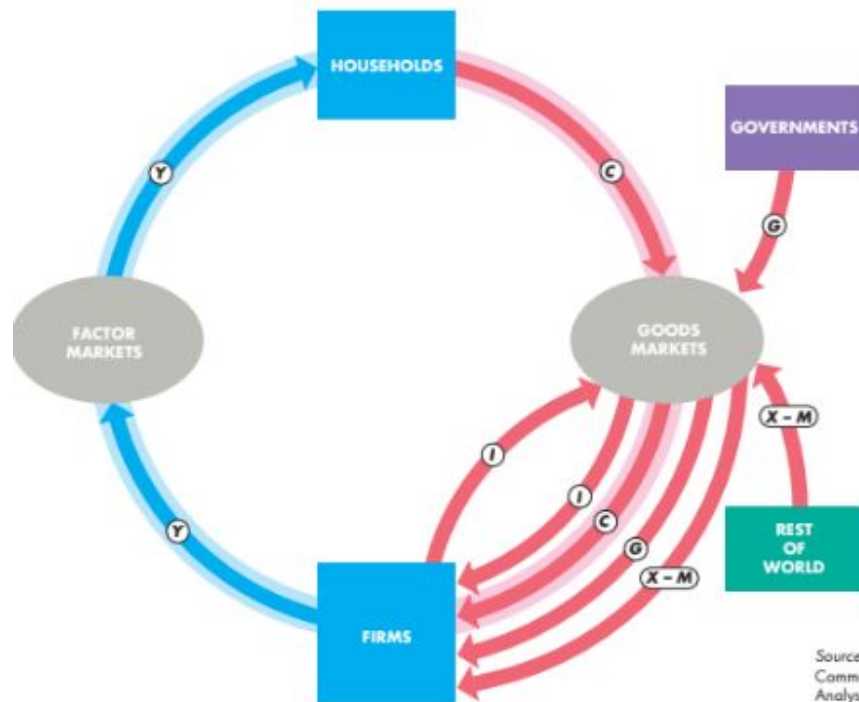


**Factors of production are grouped into *four* categories:**

- **Land:** All natural resources, such as minerals, forests, water, and unimproved land.
- **Labor:** The physical and mental talents that people contribute to the production process. For example, a person building a house is using his or her own labor.
- **Capital:** Produced goods that can be used as inputs for further production. E.g., factories, machinery, tools, computers, and buildings.
- **Entrepreneurship:** The talent that some people have for organizing the resources of land, labor, and capital to produce goods, seek new business opportunities, and develop new ways of doing things.

# Circular Flow of Expenditure and Income

FIGURE 21.1 The Circular Flow of Expenditure and Income



The **Circular Flow of Income (CIF)** is a theory that describes the movement of expenditure and income throughout the economy

# How Does the CIF Works

## ■ Firms and Profits

- Firms produce goods and services to earn profit.
- Profits are used to pay for:
  - Wages to workers
  - Rent to landowners
  - Interest to capital providers
  - Dividends to shareholders

## ■ Household Income (Y)

- The income received by households from firms is called **household income (Y)**.
- It includes all forms of earnings: wages, rent, interest, and dividends.
- This represents the **aggregate income** of all households in the economy.

## ■ Spending by Households

- Households use their income to buy goods and services from firms.
- Examples: pizza, televisions, dry-cleaning, etc.
- The money spent by households is called **Consumption Expenditure (C)**.

# Continued

- **Not All Output Is Consumed**

- Not all goods and services produced by firms are sold to households.
- Unsold output is added to **inventories**, known as **Investment (I)**.
- This is called **stock or inventory investment**.

- **Government Expenditure (G)**

- Governments also purchase goods and services from firms.
- Examples: construction projects, office supplies, healthcare services.
- These purchases are called **Government Expenditure (G)**.

- **International Trade: Exports and Imports**

- Firms sell goods and services to other countries — this is called **Exports (X)**.
- At the same time, they buy goods and services from abroad — known as **Imports (M)**.
- **Exports (X)** add to the economy's output; **Imports (M)** are subtracted.

# Continued CIF

**Aggregate Income (Y) = Aggregate Expenditure (C+ I +G+ X-M)**

## Incomes:

- >> Labor earns wages.
- >> Capital earns interest.
- >> Land earns rent.
- >> Entrepreneurship earns profits.



Because firms pay-out incomes and everything they receive from sales of their goods and services, Agg Income equals Agg Expenditure

As a result, Circular flow of Model is the foundation on which National Economic Accounts are built

# When is the Pursuit of Self-interest in the Social Interest?

## **Self-interest**

You know that your own choices are the best ones for you – or at least you think they're the best at the time that you make them. You use your time and other resources in the way that makes most sense to you. But you don't think much about how your choices affect other people. You order a home delivery pizza because you're hungry. You don't order it thinking that the delivery person or the cook needs an income. You make choices that are in your self-interest – choices that you think are best for you.

## **Social Interest**

Could it be possible that when each one of us makes choices that are in our own best interest, it turns out that these choices are also the best for society as a whole?

Choices that are the best for society as a whole are said to be in the social interest.

# The Economic Way of Thinking

We're going to look at six key ideas that define the economic way of thinking. These ideas are:

- A choice is a tradeoff.
- People make rational choices by comparing benefits and costs.
- Benefit is what you gain from something.
- Cost is what you must give up to get something.
- Most choices are “how much” choices made at the margin by comparing marginal benefit and marginal cost.
- Choices respond to incentives.



# Opportunity Cost



- **Opportunity Cost:** is the **benefit** of the **next best alternative** that is sacrificed whenever we make a choice or decision .
- **Example:** *Let's say, an HSC or A Level graduate has two choices: either (s)he can study at BRAC University or (s)he can start a job of 20,000 taka salary. If the graduate joins BRAC, then (s)he will have to sacrifice the 20,000 taka salary. The 20,000 salary is the opportunity cost of choosing to study in BRAC University.*

In economics, we always consider the opportunity cost in our analysis.

# Choosing at the Margin

**Marginal benefit** = the gain from doing **one more unit** of an activity.

Example:

- You study 4 nights/week → score = 60%.
- You add 1 more study night → score increases to 70%.

**Marginal benefit = 10-point increase**, not the 70%.

Why? The first 60% came from your original study time

**Marginal cost** = the **cost** of doing **one more unit** of an activity.

Example:

- You give up a night with friends to study an extra night.
- That lost time with friends is your **marginal cost**.

It **doesn't include** the cost of the 4 nights you already studied.



# Responding to Incentives

**Incentives** are rewards that encourage action or penalties that discourage it.

Our choices change when incentives change—when marginal benefit or marginal cost changes, we change what we do.

Example:

- If your economics teacher says the homework **will be on the test**, you want to do all the homework because it helps you a lot.
- If your math teacher says the homework **won't be on the test**, you might skip some homework because it doesn't help as much.

**Key idea:**

- We do more of something when the benefit goes up or the cost goes down.
- We do less when the benefit goes down or the cost goes up.



# Economics as Social Science and Policy Tool

As social scientists, economists seek to discover how the economic world works and they try to distinguish between positive and normative statements.

## Positive Statements

- Describe **what is** (fact-based).
- Can be **tested** and verified.
- May be **right or wrong**, but checked against facts.
- Example: *"Our planet is warming due to coal burning."*
  - **Testable** → Can be proven or disproven.

## Normative Statements

- Express **what ought to be** (value-based).
- **Cannot be tested** or proven true/false.
- **Policy goals** are normative statements.
- Example: *"We ought to cut coal use by 50%."*
  - **Opinion-based** → Cannot be fact-checked.
  - **Subject to agreement or disagreement.**

# Continued

- To explain the economic world, economists create and test economic models.
- Economics is a toolkit used to provide advice on government, business, and personal economic decisions.